

BANKING IN A GLOBAL MARKETPLACE

The Indian banking system will have to deal with mind-boggling paradigm shift in a complex global environment in the years ahead

■ By Amit Wagh, Ravi Trivedy and Sanjay Aggarwal

With yet another year of high growth, the Indian economy continues on a sustained upwards trajectory. The GDP growth has averaged 8 per cent over the past four years, determined by three key macroeconomic factors:

■ Changing demographic profile—60 per cent of India's population is expected to be below the age of 40 years by 2015;

■ Structural change in the GDP—with over 60 per cent of the contribution coming from the services sector.

■ Booming capital market and increased employment opportunities are resulting in higher disposable incomes, higher consumption and greater appetite for risks.

The expected impetus to the infrastructure segment is likely to further broaden the economic growth in the years to come. The development of the debt market and the role of financial intermediaries in routing national savings to fund the massive requirements of the infrastructure segment will play a critical role in

sustaining the growth momentum.

The underlying structural, demographic and economic changes have put India on the global map as one of the fastest growing economies. The relatively slower pace of growth in the developed world and increasing de-coupling of the emerging economies is expected to alter the world economic order in less than two decades. The sustained economic growth provides banks with significant business opportunities for rapid growth driven by clear strategic choices. While some banks have aggressively focussed on pure growth to create size and mass, others have focussed on the quality of growth. These widely divergent strategic approaches are likely to establish leadership positions for the future.

While growth brings great opportunities, it also creates significant new challenges for the Indian banking system—challenges that have the potential to fundamentally change the structure of the Indian financial services industry, particularly banking. The challenges come from three key impact areas—capital management, managing the convergence of

financial services and finally, mastering the challenge of liabilities.

MANAGEMENT OF CAPITAL

Banks are guzzlers of capital. In many ways, for banks, capital is not just a source of funds, but an enabler for growth. A study of the advances growth vis-à-vis the capital adequacy reflects a need for larger infusions of

BEST CAPITALISED BANK

CAPITAL ADEQUACY RATIO

Indian Bank	14.14
IDBI Bank	13.73
Canara Bank	13.50
Federal Bank	13.44
Indian Overseas Bank	13.27

Figures in per cent

BEST DEPOSIT MOBILISER

3-YR CAGR OF TOTAL DEPOSITS

IDBI Bank	62.80
ICICI Bank	50.14
Axis Bank	41.04
ABN AMRO	39.79
HDFC Bank	30.96

Figures in per cent

MOST PRODUCTIVE

OPERATING PROFIT/EMPLOYEE

Citibank N.A.	0.42
Standard Chartered	0.32
HSBC	0.29
ABN AMRO	0.29
ICICI Bank	0.18

Figures in Rs crore

BEST ASSET QUALITY

NET NPA TO ADVANCES

ABN AMRO	0.12
Andhra Bank	0.17
State Bank of Hyderabad	0.22
Indian Bank	0.35
HSBC	0.43

Figures in per cent

MOST EFFICIENT USER OF CAPITAL

ROCE

Indian Overseas Bank	27.31
Standard Chartered	26.33
Indian Bank	24.00
State Bank of Mysore	24.00
State Bank of Travancore	22.26

Figures in per cent